

site traffic. That said, it should be noted that you may experiment with this format if you feel that this maybe something that will be acceptable to your audience and will also bring you revenue.

Currently, there is a minor renaissance in display advertising as animated and video ads are becoming increasingly common. While it is still too early to say there is a strong possibility that such ads are going to be an important revenue stream too.

The one big difference between contextual ads and display ads is the payment mode. In contextual ads the usual payment is on the basis of clicks. That is, advertising revenue is calculated based on each visitor who clicks on the advertisement links and is usually referred to as CPC—cost per click.

In contrast, display advertising is usually based on CPM—cost per thousand impressions (M is the Roman numeral for thousand). That is, advertisers will pay on the basis of number of visitors to your site measured in multiples of thousands. Thus if the advertiser is willing to pay \$10 CPM and your monthly traffic is about 10,000 visitors your revenue from display advertising would be \$100.

4.2.2.3 Targeted

This type of advertising is the most lucrative option. Advertisers will directly deal with you offering to pay premium rates for ad spots on your blog. This can either be text based ads or even image or video ads. The revenue from the ad will be all yours.

In targeted advertising, the ad is usually displayed for a fixed period at a specific price as in traditional media like newspapers and magazines. CPC and CPM are usually not important. However, unlike newspapers or magazines the price you charge for the ad spot can be at a superlative premium. To reach this position of being able to command such prices will require a lot of hard work but the effort may be well worth it.